Northstar Services

Billing, Payments, Refunds and Subscription Policy

Invoices, Charges, Payment Failures, Renewals, Cancellations and Credits

Document ID / Version	CS-BIL-003 | Version 4.1 | Effective 01 October 2026
Document owner	Customer Operations & Service Excellence
Applies to	Customer Service, Customer Success, Billing Support, Team Leads, Escalations
Classification	Internal Use

1. Scope

This policy governs customer-service handling of invoices, subscription charges, payment failures, refunds, credits, cancellations, renewals, and billing disputes. It is intended for customer-facing support and does not replace Finance or Revenue Operations controls for accounting, tax, collections, or financial reporting.

Employees must use the billing system as the source of truth for transaction status. A customer statement, bank notification, or screenshot can provide evidence but should not be treated as proof of internal settlement status without verification.

2. Explaining an Invoice

Before explaining a disputed invoice, verify the customer and identify the billing account, subscription, billing period, invoice number, and relevant line items.

Explain charges using the invoice terminology and distinguish recurring subscription fees, usage charges, taxes, prorations, credits, discounts, and one-time fees. Do not describe a charge as an error until the underlying billing record has been checked.

If the customer disputes a tax amount, explain that tax treatment may depend on billing address, product, and applicable rules. Route questions requiring tax determination to the designated Finance or Tax workflow rather than providing personal tax advice.

3. Unknown or Duplicate Charges

When a customer reports an unfamiliar charge, verify whether the charge belongs to the authenticated account, another authorized user, a previous subscription, a renewal, or a prorated adjustment.

If the charge cannot be associated with the account, follow the payment-dispute or suspected-unauthorized-transaction workflow. Do not ask the customer to provide full card details in chat or case notes.

If two charges appear to represent the same transaction, compare transaction identifiers, dates, amounts, currency, and settlement status before classifying it as duplicate. Pending authorizations may temporarily appear as separate entries and should not automatically be treated as completed duplicate charges.

4. Payment Failure

When a payment fails, identify the status and failure category available in the billing system. Representatives may explain that a payment attempt was unsuccessful, but should not invent a reason when the payment processor does not provide one.

The customer should be directed to the approved payment-update process. Do not request passwords or full card information. If the subscription has entered a grace period, explain the applicable deadline and service impact using the current billing record.

Repeated payment failures should be escalated when the customer has followed the approved payment process but the system continues to reject valid payment attempts, particularly when multiple customers are affected.

5. Refund Eligibility

Refunds must follow the product-specific refund rules and the employee's authority level. Before issuing or requesting a refund, confirm the transaction, amount, payment status, eligibility reason, and whether a previous refund or credit has already been applied.

A representative must not create multiple refunds for the same transaction. If the customer requests an exception outside the standard policy, submit the request through the designated exception process with a factual explanation of the circumstances.

Once a refund is approved, do not promise the exact time it will appear in the customer's bank account unless the payment system provides a supported estimate. Explain the status as approved, submitted, processed, or pending according to the actual system state.

6. Credits and Service Recovery

Credits are different from refunds. A refund returns a payment under an approved transaction process; a credit adjusts future charges or account balance according to billing rules.

Before issuing a credit, confirm the reason, eligible period, amount, existing credits, and approval authority. Credits must not be used to hide billing errors or compensate for issues when the documented remedy requires a refund or correction.

Every discretionary credit must include the business reason and the applicable approval level. Supervisors should review patterns of discretionary credits to identify training needs or possible control failures.

7. Subscription Renewal

For subscriptions that renew automatically, representatives should confirm the renewal date, plan, renewal price, billing interval, and cancellation status in the account record.

If a customer says they did not intend to renew, do not claim that the renewal was unauthorized without checking the account and applicable terms. Explain the available cancellation and refund review process.

If the customer has already cancelled but was still charged, verify the cancellation timestamp, effective date, billing event, and any applicable timezone or cutoff rule. Route confirmed billing-system errors for correction and document the evidence.

8. Cancellation

Before cancelling a subscription, verify the customer's identity and confirm the requested effective date. Explain material consequences such as loss of access, remaining service period, data retention rules, or non-refundable commitments where the applicable product policy requires this information.

Do not retain a customer through misleading statements. If the customer declines an offer, proceed with the requested cancellation according to policy.

If the customer requests immediate termination but the product supports cancellation only at the end of a paid period, explain the distinction and follow the approved exception route if one exists.

9. Billing Disputes

A billing dispute should contain the invoice or transaction reference, disputed line item, customer's explanation, relevant dates, prior contacts, and the requested outcome.

Frontline representatives may correct clear administrative errors within authority. Material disputes requiring financial review must be routed to Billing Operations. The customer should receive a case reference and an explanation of the review process.

Do not tell a customer to initiate a bank chargeback simply because the support process is inconvenient. If a chargeback has already been initiated, document it and follow the designated chargeback workflow.

10. Data Handling and Audit

Billing records are sensitive operational information. Employees should access only the records needed for the customer's request and must never copy payment secrets into notes.

All billing adjustments, refunds, cancellations, and exceptions must be traceable to the employee or system that performed them. If an employee discovers an unauthorized or unexplained adjustment, report it immediately through the financial-control escalation route rather than silently correcting the record.

Appendix A — Quick Decision Reference

Subscription renewed unexpectedly	Verify renewal date, cancellation status, price, and applicable review/refund route.
Payment failed	Use the billing-system status and approved payment-update process; do not invent failure reasons.
Customer reports duplicate charge	Compare transaction identifiers and settlement status before classifying as duplicate.
Credit requested	Confirm reason, amount, existing credits, and approval authority.
Invoice line disputed	Identify the exact line item and supporting billing record before deciding.
Customer requests immediate cancellation	Confirm effective date and explain material consequences before completing the action.